Canada Bread has significant growth opportunities in both the short and longer term. The overall thrust of the Company will be to seek growth in higher margin, branded products through flexible and responsive manufacturing capabilities and efficient distribution systems.

The Company's goal is to build the current and long term core business and trademark franchises while profitable growth will be achieved on a consistent and predictable basis. Market share is very important in determining overall profitability and we expect share growth in all key categories.

Canada Bread is committed to being the best baking company in Canada. Our people are consumer focused and place the highest value on quality, innovation and profit.

CORE BUSINESS FOCUS

Focus and concentrate on targeted markets that offer sustainable, profitable growth.

1911
The Beginning

Canada Bread is established in 1911 by the amalgamation of five different companies; three in Toronto, one in Montreal and one in Winnipeg, "To carry on the business of manufacturers of and dealers



in bread, biscuits, cakes, chocolate, confectionery, canned or preserved fruits or vegetables and other foods, and to carry on the business of grain millers, dealers in grain and manufacturers of and dealers in the products thereof."



"Canada Bread Company, Limited" is incorporated — June 13, 1911.



Canada Bread focuses its energies on targeted markets that offer sustainable profitable growth. Resources are prioritized by core products, customers and geographies.

The Company's core products include fresh bread, rolls and bagels; frozen bagels, flatbreads and dough products; and specialty fresh and frozen pasta and fresh sauces. The objective is to achieve leading share positions based on a product line mix that maximizes competitive advantage and financial returns.

Core product categories are strengthened by continuing to re-define and focus products in terms of performance and value, and by ensuring strong promotional support. Product development is based on unique, proprietary formulas and packages which are differentiated from the competition.

Product line distribution focuses on retail grocery and food service businesses. Our objective is to strengthen close relationships with customers which earn the Company preferred supplier status. We participate in other distribution channels that profitably fill plant capacity, while taking advantage of our Canada-wide distribution system.

The fresh bakeries use direct store delivery as the primary customer service system. At Canada Bread we believe in the entrepreneurship and effectiveness of our independent franchise dealers. In 1997, the successful conversion of company owned routes to franchise dealers focused on Western Canada; primarily Alberta and British Columbia.

Frozen bakery and pasta products are distributed through warehouse programs to the

1997 and Beyond – the Key to our Future

The Company's name change in April, 1997 was a return to the name under which the Company was incorporated in 1911 – Canada Bread Company, Limited.

CANADA BREAD

We feel this name best reflects our position in the marketplace as Canada's leading supplier of exceptional, value-added bakery and other flour-based products.



customer. In 1997, the company continued to realign company owned distribution activities to third party distribution experts for cost and service advantages.

A major component of our core business focus is to continuously challenge all aspects of our business. To become more productive and lower costs, the de-complexing and streamlining of products, processes and customer markets is a necessary and ongoing process. An example of this focus and standardization that strengthened the business in 1997 was the development of Dempster's premium products as a national brand that enabled a coordinated and enhanced marketing program resulting in increased sales of these products.



CAPITAL INVESTMENT

Strategic investment practices ensure resources are priorized to projects that deliver superior financial returns.

Strategic capital investment is a major contributor to the growth, profitability and competitiveness of Canada Bread. A rigorous analysis and planning process ensures that resources are prioritized to projects that deliver superior financial returns.

The goals of the capital investment program are fourfold;
1) improving the productivity and costs of the existing asset base,
2) improving the quality of products and processes,
3) developing and utilizing state-of-the-art technology for competitive advantage, and
4) new product and market development.



1929-1939
Building

The Company grows through mergers and acquisitions and the opening of new plants across Canada.



In 1928, the Butternut Bread Company of the Border Cities is acquired.



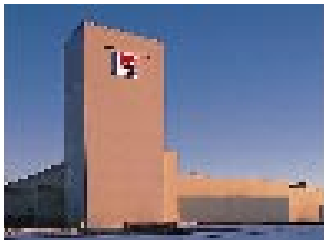
Routes expand to encompass more towns and cities. The motor truck makes it possible to provide our products to these extended territories from our 13 plants and 1 delivery depot.



A 1997 success was the continued focus on the productivity of the bagel manufacturing process, which yielded significant productivity gains. In 1998, our activities are focused on site by site manufacturing analysis to further improve overtime, waste and changeover levels.

A major success in 1997 was the building and commissioning of our new $26 million fresh and frozen bakery in Calgary, Alberta.This facility, on which construction began in January, commenced operations in July.

New product and new market development will be supported by the new Calgary



fresh and frozen bakery. The facility will manufacture bread, bagels, doughs and other products and will service Canada, the United States and export markets, utilizing innovative technology exclusive to Canada Bread.

To strengthen Canada Bread's leadership position in Western Canada's fresh specialty hearth and crusty bread and roll markets, the development of a new Venice bakery manufacturing site was initiated. Following facility acquisition and building modifications, the first production line was transitioned from the old to new site and successfully recommissioned by year end. All Venice lines will be relocated, upgraded and commercialized by the end of 1998, offering higher levels of quality, productivity and customer service.

The new plant was designed to support good manufacturing practices, for safety, and to enhance employee participation in business operations.

A major initiative is underway to develop and implement a standardized information

1997

Fresh, Frozen and Specialty Fresh Baked Goods

Marketed nationally under the renowned Dempster's name, our fresh bakery products deliver the taste, nutrition and value that consumers have come to expect from Canada Bread.



Frozen Baked Goods

New Dempster's Hot & Crusty offer consumers the taste and aroma of hot, fresh specialty breads, ready in only 10 minutes from freezer to plate.

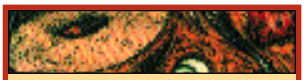


Specialty Products

Our Olivieri line of fresh pasta and sauces provide fast, fresh and flavorful meal solutions.



system supporting common business practices across the Company. All aspects of the business are being evaluated and reengineered, as necessary, to enhance customer value while ensuring business is done in the most efficient, cost effective way. Faster, more focused and more insightful key business facts will be provided to Canada Bread employees to aid in decision making.



BRAND DEVELOPMENT

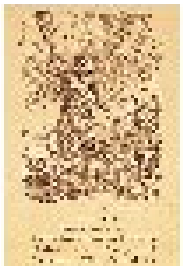
National and regional marketing programs build consumer awareness and preference for Canada Bread brand franchises.

The Company's objective is to strengthen consumer awareness and preference for distinctive Canada Bread trademarks and achieve an integrated marketing presence across product and trade channels. Investments are made in specific and concrete programs that will drive profitable growth. Success is measured by share growth in targeted market segments and by consistently growing contribution margins.

We have three key national brands at Canada Bread – Dempster's, Tenderflake and Olivieri. Our advertising strategies focus on communicating

1940-1959
Modernization

In furthering the war effort, the Company voluntarily lowers the price of its bread, preceding the inauguration of a fixed price ceiling by the government.



Buildings are purchased, refurbished and re-equipped with new technology for manufacturing, as part of the Company's renovation and modernization program.



New merchandising strategies are implemented to complement the growth of supermarket chains and the changing shopping habits of consumers.





unique brand and product benefits, and on developing market segmentation. The goal is outstanding media advertising that results in the selection of Canada Bread brands when making a purchase in the product category.

In 1997, 52 weeks of television advertising supported our national trademarks with new creative campaigns, including Dempster's Premium breads, the new Dempster's Premium Bagels ("Sensibly Delicious"), new Dempster's par-bake breads ("Hot and Crusty bread in 10 minutes"), and Olivieri fresh pasta and sauces ("As Good As It Gets"). Tenderflake was also supported with a national television campaign.



Consumer promotions are an effective means to gain quick conversion and develop an ongoing user base. In 1997 themed promotions for Olivieri and Tenderflake were particularly successful.

Packaging is receiving increased emphasis, recognizing its importance in communicating brand, quality and innovation. One of our goals is to design a retail shelf that is informative, easy and fun to shop. This year the Venice product line was redesigned to strengthen its specialty hearth bread positioning. A program was also initiated whereby the new Canada Bread trademark, updated nutrition guides and product information will appear on all products. A 1-800 consumer response line was initiated, and the number included on our packaging.

Our customer oriented marketing approaches recognize the importance of our grocery and food service customers in building the business. Canada Bread actively participates in customer menu and product development, packaging design and merchandising. In the grocery sector, the Company is encouraging its customers to use information-based, category management to build profitability.



1997

Our New Facilities

Olivieri President Carl Sparkes, Don Bradd, Executive V.P. Operations and Fulvio Pagliaro, Director of Operations, confirming the high quality of our fresh pasta line at Olivieri, Stoney Creek.



Our National Brands

1997 marked the national launch of Dempster's Premium Bagels – wholesome, low in fat and available in 7 delicious flavors.



Our Tenderflake brand of frozen pie and tart shells set the standard for flaky pastry and convenience of use.



PRODUCT INNOVATION

Increased emphasis is being placed on new product development. Competitive advantages will be achieved by bringing innovation to the market more quickly and effectively.

1960-1969
Celebration!

Canada celebrates its Centennial Anniversary in 1967 and Canada Bread Company, Limited is 50 years old in 1961.



As part of Canada's Centennial celebration, Canada Bread employees participate in the July 1st Centennial Day Parade, held in Scarborough, Ontario.



"Dempster's", a well established name in the baking industry, is acquired.
In 1969, Canada Bread Company, Limited changes its name to Corporate Foods Limited. Significant changes are implemented within a variety of product lines as the Company continues to strengthen its marketing structure and improve its distribution facilities.



For the future, developing and maintaining a strong flow of innovative, primarily branded products is critical to achieving financial growth goals.

Increased emphasis is being placed upon identifying, test marketing and launching new products and processes.

In fresh bakery, Dempster's core brand was strengthened with new product expansions into selected specialty bread markets. In July, Dempster's fresh Premium Bagels, with 7 varieties, distinctive packaging and national marketing support, became an instant success. In December, an integrated line of flour tortillas, wraps, focaccia and pita were launched under the "Dempster's Flatbreads Of The World" label. Innovative in-aisle marketing and an aggressive advertising and consumer program will ensure Dempster's both defines this new product category and gains significant market share in 1998.

While building national brand franchises, 'super-regional' brands were also strengthened with 1997 new product line extensions, including Butternut bagels in the Maritimes, Dempster's Delicious white breads in Ontario, and McGavin's and Venice bread varieties in the West.

Dempster's Hot and Crusty frozen par-bake breads and rolls were launched in Ontario and Quebec in March, with expansion to the Maritimes in October. This product entry not only defines and builds a new frozen grocery category, it ensures Canada Bread's share leadership in this evolving market. In 1998, further new product line extensions and television advertising are planned.

New products continued to play an important role in Olivieri's growth in 1997. Respected as the market innovator, 3 varieties of mid-sized ravioli were launched in February. Developed to be "best in its class" with extra flavor and ingredient attributes, Gourmet Meat and Gourmet



Tomato sauces were introduced in September, further strengthening Olivieri's fresher, better tasting positioning and market share.

Leadership requires a continued improvement in the way Canada Bread operates, resulting in higher levels of growth and profitability performance. Traditional business concepts are examined and redefined, resulting in better approaches to work. Demanding goals have been established in each aspect of the Company's business system.

In 1997, the sales force was successfully restructured and transitioned to focus nationally on Grocery and Food Service channels. Each sales team now provides customers with "one stop shop" sales solutions for fresh and frozen bakery products.

Sales force training and development will continue into 1998. The goal is a sales team whose members are known and respected as the most capable business people in the industry, who possess superb product knowledge, and act as Canada Bread ambassadors in dealings with the customer.



STREAMLINED OPERATIONS

Traditional business practices are being examined and redefined, resulting in better approaches to work. Demanding goals are set; results are rigorously measured.





1997

Brand Development

Craig Holloway, Vice-President Retail Sales and Rob Dougans, Senior Vice-President Business Development, visit one of our premier customer's stores to review the launch of new Dempster's 'Flatbreads of the World', comprising tortillas, wraps, focaccia and pita.



Innovation

Paul Nelson, Senior Vice-President Technical Services is focused on developing leadership through continual quality improvement programs, new products and new processing technologies.



1970-1989
Maintaining Leadership

Dempster's pioneers the development of grain breads, such as "Stone Ground", and with each new product innovation continues to maintain its leadership in the industry.



The Company celebrates its 75th anniversary!



An increase in fitness and nutrition awareness encourages the bakery industry to promote bread as an integral part of a healthy, balanced diet.



Dempster's first television commercial is part of a new campaign aimed at enhancing the image of nutrition, quality and taste, as well as to provide support for its franchised dealers to further their tremendous sales efforts.





Jeff Flynn, Director of Information Services and Mike Vels, Chief Financial Officer, confirming the new 'B.O.S.S.' fresh bakery operating system development timeline.

Fresh bakery restructuring programs continued, with the objective of quickly transforming existing Company employee sales routes to independent franchise distributors. Recruiting, training and motivation of entrepreneurial business persons will build and strengthen profit-oriented relationships with traditional and new customers. In 1997, the franchising of Venice routes in the Vancouver/lower mainland areas was largely completed and the remainder of B.C. routes will be transitioned in 1998.

The development of common national bakery operating processes and a management information system was aggressively pursued. Significant savings will be forthcoming, as productivity and cost reduction targets are achieved. This project will also position the Company for the successful conversion of our computer systems for the year 2000.

Efforts oriented to achieving lower costs continue by optimizing production facilities and leveraging process technology. One example is the installation of a fresh pasta line in Olivieri's Stoney Creek, Ontario facility, ensuring that all eastern markets are now serviced more efficiently through shorter lead times and distribution routes.

GLOBAL EXPANSION

New markets offer Canada Bread the benefits of asset utilization, incremental profitability and improved competition advantage.

While Canada Bread's principal business focus is the Canadian marketplace, selected opportunities are being pursued in the United States and Asian markets through our relationship with Maple Leaf Foods International and Maple Leaf Bakery U.S.A. Profitably accessing these large growth markets results in improved asset utilization of our existing Canadian assets, incremental profitability to the core Canadian business, and improved competitive advantage in Canadian markets via low cost manufacturing facilities and process technology.



This strategy links Canada Bread's product development and manufacturing strengths with the sales and marketing expertise of Maple Leaf Foods Inc. for product sales in targeted markets. A wide range of frozen bagel, bakery and par-bake bread products are being sold into U.S. markets, while the test marketing of similar products in offshore markets is promising. The Company is committed to long term customer relationship building to secure these new markets.



While there is no single key to success in managing Canada Bread's business, the importance of effective asset management cannot be underestimated. A productive asset base provides enhanced shareholder value and continuous business growth.

One of our key measures of financial success is RONA (Return On Net Assets) and our strategic objective is an overall RONA target of 15% in the Year 2000. In 1997, a RONA of 11% was achieved, up from 10.8% in 1996, taking into account a significant capital expenditure program of $51.2 million in 1997.

ASSET MANAGEMENT

A productive asset base provides enhanced shareholder value and continuous business growth.

All asset investments are carefully evaluated to ensure that investments are in projects that deliver superior returns. All significant capital investments which generate a payback are subject to post-investment audits.

A primary asset strategy is the importance of optimizing manufacturing plant capacity. Our plants are being organized to maximize throughput with a goal of full capacity at each production location.

Acquisitions are continuously being sought and considered in product lines related to core businesses and that offer an opportunity for sustainable growth and earnings, and above average returns.

Canada Bread is committed to the development of our human resource assets. To achieve this, an increasing allocation of time and money will be devoted to training programs to upgrade personnel and the workplace environment.

1997

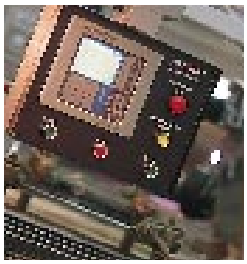
Efficiency

Bob Busch, Senior Vice-President, Human Resources, and his group are responsible for developing our perspectives on teambuilding for effectiveness.



Technology

'State-of-the-art' technology applications ensure Canada Bread's competitive advantage in each aspect of our operations.





1990-1996
Growth & Performance

The Company celebrates the successful launch of "Texas Toast".



In 1995 the Company purchases the famous "Tenderflake" trademark. This exceptional line of products offers the consumer ready-made pie and tart shells.



Dempster's and Olivieri go national!

Dempster's is awarded the coveted Grand Prix New Bakery Products Award and is the recipient of the esteemed Gold Medal at the S.I.A.L. Food Show in Paris, France, for its innovative Fruit Breads.



It is recognized that it takes more direct employees to make and sell more product however, our company has the human resources in place to be able to experience significant physical growth without comparable growth in indirect staff and costs. Increasing attention to controlling administrative costs through training and business process reengineering is a key near term objective.

Financial Results

This financial review and analysis should be read in conjunction with the Consolidated Financial Statements and related notes included in the Annual Report to Shareholders of Canada Bread Company, Limited ("Canada Bread" or the "Company").

Results of Operation

The operating results of the Company for 1997 were impacted by the sale of Brooklyn Bagel Boys, Inc. on January 2, 1997 ("Brooklyn sale"). Consequently, references are made in several places below to certain results on a comparable basis excluding the effect of the Brooklyn sale and the inclusion of 1996 acquisitions.

Sales

On a comparable basis, after adjusting for the effect of the Brooklyn sale, 1997 sales were up 3.1% over 1996. The sales growth is attributed to the full year impact of 1996 acquisitions, increased production capacity at the new Calgary facility in the latter part of the year and new products introduced during the year. The Company continued to focus on its brand development, with national brand campaigns for Dempster's, Olivieri and Tenderflake supported by television advertising.

Earnings from Operations

Earnings from operations of $36.4 million compare to $37.1 million in 1996. After adjusting for the effect of the Brooklyn sale, earnings from operations increased 11.6% over 1996. The improved earnings result from the increased sales discussed above, route restructuring and franchising, productivity improvements, particularly in the frozen bakery operations, and favourable flour purchases.

Other Income

Other Income is comprised primarily of equity earnings of Canada Bread's 25% share of the net income in Multi-Marques Inc., less amortization of the underlying goodwill. These equity earnings increased to $4.8 million from $4.6 million in 1996.

Gain on Sale of Business

On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. to Maple Leaf Foods Inc. Total proceeds of $US 20.4 million (approximately Cdn. $27 million) was received and resulted in a gain of $6.3 million before taxes ($4.0 million after taxes). *Additional details of this transaction are included in Note 10 to the Consolidated Financial Statements.*

Interest Expense

Net interest expense declined 53% to $1.4 million in 1997 from $3.0 million in 1996, due to lower interest rates and lower average borrowings throughout the year, due principally to proceeds from the Brooklyn sale.

Income Taxes

The 1997 tax rate is 38.4% compared to 40.2% in 1996. The difference is attributable to an improvement in the rate due to the gain on the Brooklyn sale and the amalgamation of McGavin Foods Limited with the Company in 1997. *Additional details of Income Taxes are included in Note 9 to the Consolidated Financial Statements.*

Financial Condition

Liquidity and Capital Resources

The Company and its subsidiaries have aggregate lines of credit of $77 million at year-end with major Canadian banks. Of this amount, $40 million is a revolving term loan with $31 million drawn at year-end. The remaining amounts are operating loan facilities.

Management is of the opinion that the current lines of credit will provide the Company with sufficient resources to finance ongoing business requirements and capital expenditure programs.

During the year, 56,000 common shares were issued as a result of exercise of options, increasing share capital by $964,000 to $36.6 million at year-end. *Further details of the plan are included in Note 7 to the Consolidated Financial Statements.*

Dividends

Dividends paid in 1997 continued at $0.24 per share, resulting in a cash outflow of $5.1 million, the same as in 1996. The pay-out represented 19% of the Company's 1997 net earnings (1996 – 21%) after adjusting for the gain on the Brooklyn sale.

Capital Expenditures

Net additions to fixed assets increased to $51.2 million from $22.8 million in 1996. The largest part of the capital expenditures in the year was spent on the Company's new state-of-the-art manufacturing facility in Calgary, Alberta, which was opened in the early fall of 1997.

Risk Management

The Company has financed risk exposure to varying degrees relating to interest rates, foreign exchange and commodity pricing. The cost of flour, which represents a large component of the Company's raw material costs, is directly impacted by wheat prices and quality, which are often volatile. The Company manages exposure to fluctuating flour prices through the use of forward purchase contracts. *Information on the Company's derivative products is set out in Note 5 to the Consolidated Financial Statements.*

The year 2000 poses a significant risk to businesses that are reliant on computer systems that use the last two digits to represent a year. In 1996, Canada Bread began a process of replacing almost all of its enterprise computing systems with new, standard platforms across all operations, as part of the streamlining initiative contained in the Seven Point Plan. These new systems will be Year 2000 compliant. The costs of these initiatives have been and will be charged to capital expenditures. The Company also has other systems that must be altered or replaced to enable them to be Year 2000 compliant. Costs related to these initiatives have been and will be charged to expense as incurred, and have not been and are not expected to be material. The Company has in place a formal process to monitor and report upon progress towards meeting a target of March 1999 to be Year 2000 compliant throughout the Company for all critical systems.

The Company will also monitor the year 2000 compliance of its major suppliers and customers. However, there can be no assurance that the systems of other companies with which the Company interacts will be year 2000 compliant or that any failure by another company in this respect would not have an adverse effect on the Company's operations.

Environment

Environmental responsibilities are considered a high priority by Canada Bread. The Company has adopted an environmental stewardship program under which specific senior executives take responsibility for all environmental matters within the Company. These executives work together to ensure that Canada Bread is in compliance in all material respects, with existing environmental regulations. Reports regarding all environmental issues or matters which have arisen are regularly provided to the Board of Directors for discussion and evaluation. Expenditures relating to current environmental standards are not expected to have a material impact on the financial position or earnings of the Company.

Related Party Transactions

Maple Leaf Foods Inc. and its subsidiary, Maple Leaf Foods USA Inc., provide certain management and other services to Canada Bread. These arrangements were reviewed and approved by the outside members of the Board of Directors. *See Note 11 to the Consolidated Financial Statements for further details.*

1997 and Beyond

Our Future

Canada Bread welcomes the challenge of the future, secure in the knowledge of our tremendous capabilities of achieving product and market success as evidenced throughout our proud history.